India & Cuba: Bridging Nations, Building Prosperity

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Foreword

Cuba occupies a distinctive position within the economic and scientific landscape of Latin America and the Caribbean. As the largest island of the Caribbean, home to roughly ten million people, a highly educated population, one of the developing world's most advanced biotechnology sectors, significant underused agricultural land and a rich cultural heritage, the country holds long-term promise across biotechnology and pharmaceuticals, agriculture and food processing, renewable energy, information technology, education and tourism. At the same time, a prolonged economic crisis, severe energy and fuel shortages, scarce foreign currency, a multi-rate exchange system, limited shipping connections and the extraterritorial effects of United States sanctions temper the pace at which this potential translates into realised opportunity, shaping a market where scientific capability and political goodwill coexist with exceptional constraints.

India and Cuba have maintained warm and enduring relations since 1960, reaffirmed in recent years at the highest level on the sidelines of BRICS summits. Bilateral trade has remained modest, at about USD 24 million in the latest year reported by India's Ministry of External Affairs, and is led by Indian exports of pharmaceuticals and chemicals, while cooperation in biotechnology has continued for more than two decades. The underlying complementarities are significant: India's strengths in pharmaceuticals, agro-processing, renewable energy and bioenergy, engineering, information technology and education align with Cuba's needs for supply, investment and technology, while Cuba's biotechnology, scientific talent, land and regional relationships offer Indian partners opportunities for co-development, joint manufacturing and engagement across the Global South.

Looking ahead, this paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Cuba in a manner appropriate to current conditions, whether through sector-specific market intelligence, structured business matchmaking, identification of credible local partners, or institutional dialogue with Cuba's relevant ministries, investment institutions and the Chamber of Commerce of Cuba, that can be scaled as specific opportunities mature.



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CUBA

> Step into history, music, and culture and truly feel the moment.



Basic Facts, Demographics, and Monetary System: Cuba, officially known as the Republic of Cuba, is an island nation located in the Caribbean, with Havana as its capital and largest city. As of 2025 projections, Cuba's population is approximately 11.0–11.2 million. The country operates under a socialist political system with a centrally planned economy, though gradual economic reforms have introduced limited private sector participation. Cuba is classified as an upper-middle-income economy, with a unique economic structure heavily influenced by state ownership and international sanctions. Key sectors include healthcare, biotechnology, tourism, agriculture, and mining (notably nickel and cobalt). The country is globally recognized for its strong public healthcare and education systems. Cuba has a population of approximately 11.1 million, with a high literacy rate and strong human development indicators. Urbanization is significant, with a large proportion of the population residing in Havana and other major cities. Cuba uses the Cuban Peso (CUP) as its official currency.

Economic Landscape and Gross Domestic Product (GDP)

The economy of Cuba has an estimated nominal GDP of USD 110–130 billion (2025) and operates under a state-dominated system with gradual reforms. The services sector dominates, contributing around 70–75% of GDP, driven by tourism, healthcare, and education. Tourism is a major source of foreign exchange, while Cuba's healthcare and biotechnology sectors are globally recognized. The industrial sector accounts for about 20–25%, focusing on mining (especially nickel and cobalt), manufacturing, and energy. Agriculture contributes 5–10%, producing sugar, tobacco, and coffee but remains relatively low in productivity. Economic growth has been modest (1–3%), affected by external sanctions and limited access to global financial markets. Recent reforms, including currency unification and support for small private enterprises, aim to improve efficiency.



Culture and Heritage

Cuba has a rich cultural heritage influenced by Spanish, African, and Caribbean traditions. It is globally known for its music (salsa, son), dance, art, and historic architecture. Havana's old town is a UNESCO World Heritage Site, reflecting colonial-era influences.

Bilateral Trade with India (in USD Millions)

Trade between India and Cuba is relatively small but stable, estimated at USD 50–100 million annually (2024–25). India exports mainly pharmaceuticals, chemicals, and machinery, playing a key role in supplying affordable medicines to Cuba. In contrast, India imports limited quantities of minerals like nickel and cobalt and some agricultural products. The trade relationship is affected by sanctions and financial constraints, but remains steady due to strong diplomatic ties. Future growth potential exists in healthcare, biotechnology, and renewable energy sectors.

India and Cuba share historically strong and cordial bilateral relations, rooted in their common alignment within the Non-Aligned Movement and shared perspectives on global development issues. India has consistently supported Cuba through the supply of pharmaceuticals, medical equipment, and development assistance, particularly during periods of economic difficulty. A key area of future collaboration lies in Cuba's advanced biotechnology and medical research sector, offering potential for joint research, clinical trials, and knowledge exchange.



Import and Export Composition

Cuba maintains a modest but essential trade relationship with India, characterized by Cuba's reliance on imports of pharmaceuticals, medical supplies, chemicals, machinery, food products, and basic consumer goods, many of which originate from India either directly or through global intermediaries, with India playing a key role as a supplier of affordable generic medicines supporting Cuba's healthcare system; in contrast, Cuba's exports to India remain limited and are primarily concentrated in tobacco products (including premium cigars), pharmaceuticals, biotechnology-related products, and small quantities of minerals.

Economic Cooperation and Investment

Cuba and India share a developing economic partnership focused mainly on healthcare, pharmaceuticals, and technical cooperation, with India supporting Cuba through medicines, development assistance, and capacity-building initiatives. Collaboration in biotechnology and medical research offers strong potential for joint innovation, while limited opportunities exist in sectors like renewable energy, agriculture, and tourism, typically through state-led partnerships.

1. Cuba: Economic Profile and Business Environment

1.1 Country overview

Cuba is the largest island in the Caribbean, with an area of about 110,000 square kilometres and a population of roughly 9.7 million according to official figures, although independent estimates are lower because of recent emigration. Havana, the capital, is home to more than two million people. Spanish is the official language. Cuba has near-universal literacy, a long tradition of investment in education and health, a distinctive scientific and cultural base, and a strategic position at the crossroads of the Gulf of Mexico, the Caribbean and the Atlantic.

The economy is state-led, with an expanding but still constrained private sector. It has faced a prolonged crisis since 2019 marked by contraction, a shortage of foreign currency, ageing energy infrastructure, severe fuel shortages and blackouts, and the effects of the United States embargo, which Cuban authorities identify as the main cause of their difficulties. Other analysts point also to structural inefficiencies, a multi-rate exchange system and weak external payments. Conditions in 2026 have been particularly difficult and change quickly, so this paper should be read as a framework for engagement that must be checked against the situation at the time of any business decision.

1.2 Structure of the economy

Services: tourism, professional and medical services, telecommunications, transport and public administration account for the majority of output. The export of medical and professional services has been the largest single source of foreign currency.

Biotechnology and pharmaceuticals: a state-supported cluster of research institutes and manufacturers, grouped largely under BioCubaFarma, producing vaccines, biologics and medicines.

Agriculture and food: sugar, tobacco, rice, beans, citrus, coffee, livestock and vegetables. Cuba imports a large share of its food, and substantial areas of arable land are underused.

Industry and mining: nickel and cobalt, tobacco products, rum, construction materials and food processing.

Energy: electricity relies heavily on ageing thermal plants and imported or domestic oil, with a small but growing contribution from solar, biomass, wind and hydropower.

1.3 Institutions and governance

Cuba is a one-party socialist state with a constitution adopted in 2019. Foreign trade is conducted largely through state enterprises supervised by the Ministry of Foreign Trade and Foreign Investment. Since 2021 private micro, small and medium-sized enterprises (MIPYMES) have been legally recognised, and the authorities have announced further liberalisation in selected sectors and a more active approach to attracting foreign direct investment. The Embassy of Cuba has described the country as undergoing a structured economic transformation.

For foreign partners, the key considerations are the central role of the state as counterparty, the speed and predictability of approvals, the availability of foreign currency for payments, and compliance with United States sanctions legislation, which has extraterritorial effects. Local legal advice, careful due diligence and strong payment security are essential.

1.4 Trade orientation

Cuba is a small, import-dependent economy. It imports fuels, food, machinery, chemicals, pharmaceutical inputs and consumer goods, and exports services, nickel, tobacco, rum, seafood, sugar and biotechnology products. Principal partners include China, Spain, Brazil, Canada, Russia, Venezuela, Mexico and other Latin American and European countries. Cuba is a member of the Latin American Integration Association (ALADI), the Bolivarian Alliance (ALBA-TCP), the Community of Latin American and Caribbean States (CELAC) and the Association of Caribbean States, has a cooperation agreement with the European Union, and is a partner country in the BRICS group.

1.5 Business environment summary

Factor	Observation	Implication
Political and policy context	Stable system; policy reform under way; sanctions pressure	Engage government early; monitor regulation
Market size	About 10 million consumers, low purchasing power	Project, sector and export-oriented strategy
Energy	Frequent blackouts and fuel shortages	Own power, backup and energy-efficient design
Currency and payments	Multi-rate peso system; scarce foreign currency	Payment security, hard-currency structures
Sanctions environment	US embargo with extraterritorial reach	Legal review, bank selection, compliance controls
Skills	Highly educated workforce, strong in science and health	Joint research, manufacturing and training
Land and agriculture	Large areas of underused arable land	Agro joint ventures and co-processing